

Seafood Country of Origin Labeling Policy for Costco Wholesale Dept 61

1) All cases of seafood products received at depots and/or warehouses that fall under country of origin labeling requirements must be labeled by the vendor. Improperly labeled products are subject to refusal. A letter from the vendor can be substituted for improperly labeled products with the involvement/approval of the buying office. Label requirements for COOL are whether the product is farmed or wild **and** where the product originated. Additionally, our vendors will apply the appropriate specific COOL compliant Costco PLU# to the box end label.

Cooked items, seafood medley's and value added items are exempt from the labeling requirements, examples for dept 61 are King crab legs & Dungeness crabs (cooked) and stuffed salmon and breaded tilapia (value added).

2) At warehouse level, employees wrapping seafood must check every box for the COOL information and choose the appropriate PLU# from the COOL reference sheet to ensure that the product is labeled correctly at time of purchase by our members (updated version available always on the intranet). Any product that is re-wrapped must be re-wrapped using the same PLU# (which will print on the label itself to save time when re-wrapping). If you receive product that does not match a PLU# on the COOL reference sheet notify the buying office immediately and we will set up an item# and have it downloaded to your scale usually within the hour. In the event this was to occur on a Saturday afternoon or Sunday and you cannot get assistance from the buying office you can manually create a sign with the appropriate COOL information. Do not attempt to do this without calling your regional supervisor, who will be able to contact buying staff and verify we are doing everything correctly.

3) All meat departments must retain the box end labels with the COOL information on them while product is on hand. This is to validate the COOL claim on our label for product in the seafood case when the boxes are disposed of after packing them off.

In addition, we are currently working with our IS programmers to strengthen our program moving forward. Specifically, we are working on programming changes that will prompt receiving at the warehouse to enter the appropriate PLU# when receiving seafood that falls under COOL requirements. Products will not be able to be received without entering a PLU# or #'s. This will allow for warehouses to view the country of origin information for each delivery in the comments field in RHI. The PLU#s will be translated into text in the comments field. For example, fresh farmed Atlantic salmon product of Chile has been assigned PLU# 590. After this PLU# is entered at time of receiving the comments field will read " farmed Atlantic salmon, product of Chile." This can then be shown to an inspector at any AS400 terminal and printed off if needed. To reduce the receiving time vendors will put the appropriate PLU# on every box end label. In the event this was to be absent from the label the COOL reference sheet will provide the appropriate PLU# and the buyers will address the issue with the vendor.